TRANSPARENCY AND ACCOUNTABILITY IN CENTRAL BANKS

The current trend in many countries is for an independent central bank. It is essential that an autonomous central bank is able to coordinate effectively with the government and keep it, and the public, appraised of plans and projections. To this end, a central bank must demonstrate both transparency and accountability.

Transparency

- **Increased openness** is expected to lead to better-informed decisions.
- **Political, economic, and procedural policies** should all be clearly outlined.
- **Regular and comprehensive reports** must be made available to the public and the government.

Accountability

- **Rigorous standards of conduct** for the central bank's staff should lead to higher-quality decisions.
- **Audited financial statements** should be made publicly available.
- **Operating expenses and revenue** should be disclosed.

EXTERNAL FACTORS
Central bank decision-making must also take into account factors such as social attitudes, business considerations, and the volatility of the financial markets.

Central bank also oversees commercial banks Oversight of commercial banks gives the central bank large power in shaping the economy.

Central bank sets interest rates
Having consulted a range of financial indicators, the central bank decides on a target rate of interest.

Report justifies and explains decisions
The central bank governor appears before the committee to give further explanation when required.

Minutes of policy meeting published
Reports of the central bank's decision-making process are publicly available.

Impact of policy is monitored and quantified
Financial institutions and the specialty press pay especially close attention to the central bank's decisions.

IMPACT ON MONEY MARKETS
Interest rates affect the price of financial assets and the exchange rate, which affect consumer and business demand and the return on a country's assets relative to their foreign-currency equivalents.

IMPACT ON THE PUBLIC
Interest rates affect saving, borrowing, and spending decisions. These feed through into output and employment, then producers' costs and prices, and eventually consumer prices.